

recognizable, but that doesn't mean that either company's stock constitutes a sure thing.

Holding winners too long. It's time to entertain one final Wall Street axiom: "You never get hurt taking a profit." This is not to say that you should not let winners run. However, if you find numerous, objective considerations that favor selling a security and if the only reason not to sell is because you fear regretting a missed opportunity should the investment appreciate after you sell it, then it's time to take a step back.

Remember that you may also experience regret when a stock begins to decline after you've held it for too long. Moreover, a helpful approach is to attempt to set aside any emotions that might be impacting the sell decision. Once you feel certain, make a choice—and stick to it. You can always buy in again later on if the stock does indeed represent a good investment opportunity.

NOTES

1. Hersh Shefrin and Meir Statman, "Explaining Investor Preference for Cash Dividends," *Journal of Financial Economics* 13 (June 1984): 253–282. Reprinted in Richard H. Thaler, ed., *Advances in Behavioral Finance* (New York: Russell Sage Foundation, 1993).